INTERNATIONAL BUSINESS FINANCE

COURSE OUTLINE

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3. Exchange Rates : Determination and Quotation (7)
4. Management of Foreign Risk Exposure (9)
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9. Globalization : Concepts, Features and Implications (22)

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Overview of International Business Finance

What is International business finance: From the topic, there are three key words that are to be considered which are International, Business and Finance.

International business finance is a discipline or a multi-discipline that contains other areas for field that expores people to different ways of managing financing, investing finance, raising ferance beyond the shares of a country. It focuses on monitoring the financial or monetary interaction between people from different countries or nations.

It prepares one to have the knowledge on how to manage international investment and corporation as it will expose one to the areas of having ideas and knowledge on foreign currencies

Objectives of International Business Finance

1.) To reduce global poverty and increase global standard of living and economic conditions of every nation
2.) Aims to support national economic sustainability prospect
3.) Helps to promote regional co-operation and global financial transparency
4.) Supports the growth and development of international financial institutions

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Scope of International Business finance

As a body of knowledge International Business Finance acquires knowledge from various field of study including social sciences, behavioural sciences and business management.

Various businesses that can go internationally

i.) Franchising
ii.) Exporting
iii) Importing
iv.) Multi-national firms
v.) Buying and selling
vi.) Foreign investment

Importance of International Busines Finance

1.) It enables investors or countries maximise their wealth
2.) Helps investors to optimise interest rate stability
3.) Helps investors to manage risk especially foreign exchange risk
4) Helps investors to manage to know how to manage inflationary trends that might affect his/her investment income

Scope/Focus of International Business Finance

The course as a discipline focuses on the following

- Standardization of world economic stability through international monetary exchanges and relationship among countries

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- Focuses on Individual markets (countries) international capital flow
- Focuses on external trade and global market development

Other areas of focuses include

- Optimum currency areas
- International fishers effect and interest rate fluctuations

Features of International Business and Domestic trade

International Business Trade	Domestic Business Trade
i) Cross border transaction	i) Trade within the border of a nation
ii) The trade is between individuals from one country and individual from another country (Inter country business)	ii) The trade is between individuals in the same country. (Intra country business
iii) Different laws of the countries involved must be observed and respected. There are various laws to be obeyed.	iii) The traders are expected to observe and respect the law of a particular country i.e we have only one law to obey
iv) Language barrier	iv) There is no language barrier
v) Movement of factors of production is not easy due to some restriction e.g labour, capital etc	v) There is no restriction in the movement of factors of production as transportation is very easy

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vi.) the foreign currencies needed for the transactions are difficult to acquire and one must know the exchange rate and how it affects your business. High transaction cost	vii.) Only one currency is involved and there is no transaction cost
vii) There is exchange rate risk	viii) There is no exchange rate risk
viii) External trade	viii) Internal trade

The pactice of International trade Concept <Trends>

International trade is a busines activity that involves individuals going beyond borders to Trade with one another

Over the years, countries all over the wrld have engaged in commercial activities among themselves from time memmal In recent times this international trade has grown even faster than domestic trade, the growth in international trade however can be explained as a result of various factors that have collectively been driving the growth of international trade particularly in Nigeria

These factors include the following

1. Globalization: this is international networking or interconnectivity of nations

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2. Trade liberalization: How various government remove restriction on trade activities e.g How federal government licenses some business or trade activities in Nigeria and other countries. This enables ease of doing business.
3. Creation of regional economies: E.g ECOWAS, European union etc. These groups helps to improve trade relationship among their members
4. Technological advancement: These are the rapid development in the technologies eg easy transfer on phone internet going to banks.
5. Emerging market growth in the international trade: For example ten years ago china, India were all emerging market as the could not compete with the developed marcett of United states. Nigeria is not an emerging market Nigeria is a they claim to be emerging
6. Creation of common currencies: This explains how each group e.g European union wants to have one currency as every european countries under EU and must use "Euro" as a legalised currency and not pounds. Even the African Union is working towards making one currency for all African Countries

Types/Components of International Trade

- Export trade: Visible and Invisible Export Trade

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-> Export trade: This refers to international trade that focuses on selling of goods and services outside the shores or border of a country

- When the product sold are physical product or tangible product then it is called "Visible Export"
- When the product sold are not physical or tangible the product is called "Invisible Export". They are refered to as services e.g educational services (e.g people moving from UK to Nigeria to study in another country)

-> Import trade: This is international trade that focuses on buying of goods and services into a country.

- Visible Import trade: When we buy tangible or physical goods
- Invisible Import trade: When we buy intangible or non-physical goods known as services e.g eg moving from Nigeria to study in Ghana

-> Entraport: This is when a business man imports goods from a country for the sole aim of exporting to another country. €

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International Trade and Investment theories

- The Mercantilism theory (16th century)
- The Absolute advantage theory (18th century) 1776
- The comparative cost advantage theory (1817)
- The factor endowment theory
- The product life cycle theory

The Mercantilism theory (Adam Smith)

- Meant to encourage countries to export. They dealt with gold has a means of exchange. Gold standard era.
~~used~~.

The theory of mercantilism was the oldest international trade theory propsed by the early classical economist. The theory particularly focused on encouraging countries to increase export of goods and services while restricting import. The theory was used to justify the ability of countries to generate more gold through their exports of goods and services. The theory was proposed during the period of Gold Standard an era when Gold or metals was used as a means of exchange. The more export countries engage in the more gold countries generate and the richer the countries. It particularly discouraged imports and encourage

1.
2.
3.
4
5

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exports

Disadvantages of Mercantilism theory

1. Import restriction created scarcity of goods and services
2. Consumers had limited choice in terms of goods and services as a result of scarcity
3. It caused general Inflation
4. Promotion of nationalism
5. Manufacturers that wanted to import raw materials were restricted

The Absolute Advantage Theory

This theory particularly states that a country can benefit in international trade by producing and selling only those products in which it has Absolute Advantage. They argued that Mercantilism theory robbed people the rights to trade freely and benefit from voluntary exchange. They emphasized that, by restricting Import from Nations countries were essentially wasting their work or resources by producing goods and services at a higher cost due to lack of resources. The Absolute Advantage theory allows countries to focus on goods and services it can produce by using less of their resources.

The major disadvantage is that the theory expects countries to only produces goods they have less expenses on as they can't produce such goods

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The Comparature cost Advantage theory (David Ricardo)

The comparative cost Advantage theory states that a country should specalise in the production of goods and services in which its has comparative cost advantage in producing over other countries. Under this theory the proposers argued that what matters is not absolute advantage or cost of production but rather the relative effecient cost otherwise known as ratio at which two countries can utilise resources in production of goods and services. That is to say that it can benefit two countries to trade freely as long as one country is effacent in producing goods and services needed by the other country. (trading partner). The principle of comparative cost advantages basically was showing on the concept of Opportunity cost which measures the benefit between trade off of two countries involved in International trade.

Assumptions of Comparative Cost Advantage Theory

1. They assumed that there are only two countries engaged in exchange of good and servies
2. There are two commodities involved
3. Labour is the major factor of production in the two countries

4. There are no trade unbalance between two countries
5. Cost of production will be fixed

Illustration

Two countries France and US are engaged in exchange of goods and semces in International trade and two commodities involved are clothes and wine. It takes France 1 hour to produce 5 yards of clothes and 10 cartons of wine. USA uses 1 laborer hour to produce 20 yards of clothe and 20 cartons of wine

USA has absolute advantage in the production of clothe and wine given the abso availability of laborer in their country. Under Absolute Advantage theory USA should concentrate on producing both commodities

Opportunity cost table

France ->	Produce ~~clothe~~ cloth	and leave out ~~cloth~~ wine	$= \frac{10}{5} = 2$ cartons
	Produce ~~cloth~~ wine	and leave out ~~wine~~ cloth	$= 5/10 = 1/2$ yards
USA ->	Produce cloth	and leave out wine	$= 20/20 = 1$
	Produce wine	and leave out cloth	$= 20/20 = 1$

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	cloth	kline
France	2	1/2
USA	1	1

* Commodities where countries have least opportunity cost is where they should focus on

Benefits of International trade

1. Voluntary economic exchange
2. Skill specialisation: countries are encourage to specialise in different skills as well as in production in goods and services
3. Improve standard of living: International trade helps countries improve their standard of living through Import and Export
4. It creates employement opportunities
5. International trade encourages international corporation and International peace
6. Unnecessary waste of resources will be reduced

Disadvantages of International Trade

1. It encourage dumping of low quality Imperior goods
2. It can cause Adverse balance of payment i.e having more import than export or vice versa

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3. It reduces/affects the National reserve of the country
4. Devaluation of Local currency

Tools to restrict International trade

1. Import licence
2. use of Import duties / Indirect tax
3. Import quota i.e restricting quantity of goods imported
4. Subsidy (Trade or Import subsidy)
5. Foreign exchange control
6. Devaluation of local currency

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Foreign Exchange rate determination

What is Foreign Exchange?

Foreign Exchange is a means or an instrument used to settle international payment or for financing external transactions between countries. Foreign exchange basically involves convertible foreign currencies needed to settle foreign transactions. Examples of foreign currencies are Dollar, Euro etc.

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Sources and Uses of Foreign Currency (Demand & Supply)

-> Demand for foreign currency

1. Importation
2. Settlement of foreign debt
3. School fees
4. Medical bills / trips

-> Supply for foreign currency

1. Exportation
2. Donations, Grants

What is Foreign Exchange Rate

Foreign exchange rate is the price of one unit of currency of a country expressed in terms of another country's currency. It is the number of units of a country's currency that can be exchanged for another unit of another country's currency. For example the number of units of Naira that can be exchanged for units of Dollar. Foreign exchange rate is used in international trade transactions - It is subject to fluctuations based on economic conditions of a country.

Foreign exchange rate is a function of macro economic

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performance of a country. The more stable the exchange rate, the better the economy

Foreign Exchange rate theories

A number of theories have been proposed to explain the foreign exchange determination among them are

1. The Mint Parity Theory
2. Purchasing power parity theory (the law of one price)
3. Balance of payment theory

The Mint Parity Theory

This was proppsed during the ~~fixed~~ Gold standard era when gold was used as a means of exchange. It shows how the value of Gold, available can be exchange for the value of gold in another country. The currency in used is meant to be convertible to gold in fixed rate. The rate at which the country's money can be convertible wto gold was described as "Mint Price of Gold." For example if one gram of Gold cost 5 pounds in UK and 1 gram of Gold cost 10 dollars in US, the exchange rate between UK and US under mint parity theory would be $10/5 = 2$ i.e

1 pounds ⇒ 2 dollars → that is the exchange rate

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Purchasing Power Parity Theory

This theory is similar to the mint parity theory. Under this theory the equilibrium exchange rate between 2 convertible currencies is reflected by the purchasing power of the 2 countries currencies.

For instance, If 1 techno handset sells for 1,000 pounds in UK and the same handset sells for ₦20000 in Lagos based on purchased power parity theory. The exchange rate between Lagos and UK the exchange rate will be $\frac{20000}{1000} = 20$ i.e 1 pound = ₦20.

Under this theory the law of one price can control over the power of the country's currency

Balance of Payment Theory.

This theory states that under a free exchange rate system, the exchange rate between two countries will be based on Balance of payment account. Balance of payment account is an account kept by countries who engage in international trade. The condition of the exchange rate is dependent on the balance of payment account i.e if the balance of payment account is unfavourable it impacts negatively on the local currency. Balance of payment account defines the value of the

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currency.

Types of Foreign Exchange Rate, Systems or Policies

Foreign exchange rate, system or policies fall broadly under 2 major categories

1. Fixed exchange rate system
2. Floating or flexible exchange rate system

From this two we have other sub system called Hybrid

1. Demanaged floating exchange rate
2. Managed floating
3. Target zone
4. Crawling paid
5. Multiple exchange rate system

Fixed exchange rate system: Under this system a country can adopt or fix the exchange rate that will resist the market forces. Under this system the gvernment with important under Central bank plays a great role. The exchange rate is not controlled by market forces

Advantages

1. It helps to eliminate foreign exchange rate risk
2. It helps a country to achieve bellance of trade

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3. It helps the federal government achieve macroeconomic stability

4. It discourages arbitrage transactions

Floating or flexible exchange rate: Under this the exchange rate is determined by the forces of demand and supply (market forces)

Advantages & Disadvantage —> Read up on it

Hybrid / Target zone :- A mixture of floating

-> Crawling peg: In the type of exchange rate, the rate is adjusted from time to time to reflect prevailing inflation rate.

-> Managed floating rate: The exchange rate is allowed to float but is subject to government intervention / control periodically

-> Multiple exchange rate: This type of exchange rate system can be used by a country with more than one exchange rate. Different rates are used for different transactions

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Thr instance between 1962 and 1986 Nigena was used fixed exchange rate system. Between 1986 and 1987 Nigena used dual exchange rate.

Factors the affect foreign exchange rate

1. Inflation rate
2. Level of money supply in the economy: this lead to high liquidity
3. Interest rate
4. Balance of payment account position
5. Capital flight ! money that leaves the country through illegal means. Due to over invoicing, under invoicing, smuggling
6. Political instability
7. Government regulation and control
8. Arbitrage business
9. Rumors or wrong information about the country

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